Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Wharf Residences

A$61.0M senior secured construction facility, 18 Riverside Road, East Fremantle WA

Prepared for The Wharf Residences Pty Ltd
Prepared by Quillwood Credit Partners
12 April 2024, Version 1.0
Non-binding and subject to credit approval
Reference: QCP-TS-2024-0412-WHARF
Date: 12 April 2024

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Transaction Details

Borrower	The Wharf Residences Pty Ltd (ABN 18 209 165 833)
Sponsor	Wharfside Developments Pty Ltd and related entities (Wharfside Group)
Registered office	Level 5, 28 Mouat Street, Fremantle WA 6160
Property	18 Riverside Road, East Fremantle WA 6158
Lender	Quillwood Credit Partners
Date	12 April 2024

Parties and property

This indicative term sheet is non-binding and does not constitute an offer or commitment to lend. Any facility is subject to credit approval, satisfactory due diligence and execution of final documentation.

2. Project and Borrower

The Borrower is a single-purpose vehicle established by Wharfside Developments to deliver a 96-apartment, six-storey building on a 4,200 square metre river-fronting site acquired in March 2022. Gross floor area is approximately 12,650 square metres and net saleable area approximately 8,900 square metres, with 138 basement car bays over two levels. Development approval was granted on 24 August 2023. Construction is under a fixed-price design and construct contract with Corvale Construction Pty Ltd, over a 22 month period. The Borrower has no operating revenue before settlement.

Directors are Callum R. Whitford, Priya Anand and Graham T. Ostrowski (non-executive, independent of Wharfside management).

3. Proposed Facility

Term	Indicative position
Facility	Senior secured construction, cost-to-complete, with separate interest and fee capitalisation allowance
Limit	A$61.0M
Tenor	27 months from first drawdown (targeted June 2024), maturing September 2026
Margin	1-month BBSW plus 6.25% per annum
Establishment fee	1.75% (approximately A$1.07M)
Line fee	1.00% per annum on undrawn commitments
Exit fee	0.50% on repayment after scheduled maturity
Repayment	Net settlement proceeds from apartment sales

Key commercial terms, subject to credit approval

4. Sources and Uses

Item	A$M	% of TDC
Land	14.5	14.5
Construction contract	74.6	74.6
Finance costs	5.7	5.7
Fees, approvals and other	5.2	5.2
Total development cost	**100.0**	**100.0**

Uses of funds. Funded by senior facility A$61.0M (61.0%) and sponsor equity A$39.0M (39.0%)

5. Security and Key Quillwood

Security is expected to include a first registered mortgage over the site, a general security agreement over the Borrower, a sponsor completion and cost overrun undertaking, and assignment of the building contract, consultant reports and sales contracts. Presale deposits of A$7.8M are held in the solicitor's trust account.

Metric	Value
Gross realisation value	A$124.8M
Loan to value ratio (on GRV)	48.9%
Loan to cost ratio	61.0%
Presales	60 of 96 units (62.5%)
Presale value to facility limit	1.28 times
Forecast net profit before tax	A$21.7M

Indicative credit metrics

6. Covenants

- Cost-to-complete test satisfied before each drawdown, certified by Pellegrini Dunmore Quantity Surveyors.
- Loan to value ratio not to exceed 55% of GRV, tested at each drawdown.
- Presales not to fall below 60 units, with no sale below agreed minimum prices without Lender consent.
- 100% of net settlement proceeds applied to the facility until repaid in full.
- Continued compliance with Department of Water and Environmental Regulation conditions, including acid sulfate soil and groundwater management.

7. Conditions Precedent

- Credit approval and final satisfactory valuation from Kinross Hale Valuers (Perth).
- Sponsor equity of A$39.0M evidenced as fully contributed before first drawdown.
- Satisfactory legal due diligence, including review by Ashgrove Whitlam Lawyers, and executed security documents.
- Builder security, insurances and certified contract documents acceptable to the Lender.
- Confirmation of sponsor capacity to support overruns, having regard to Wharfside's two other active projects.

8. Sign-off

Role	Name	Date
Prepared by	Quillwood Credit Partners, Real Estate Finance	12 April 2024
Credit approval	Pending	Pending
Borrower acknowledgement	Pending	Pending

Indicative only. Not binding until executed documentation is in place